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Windheim v. Tse

26STCV12186

Defendants' Demurrer to Complaint

Tentative Ruling

The demurrer is sustained in part and
overruled in part.

Background

This matter arises out of an alleged investment, joint
venture, and business loans.

On April 15, 2026, Kenneth A. Windheim, individually and
as trustee of the Global Uniform Investment Trust dated August 4, 1995 ("Windheim"),
and Allotrope Prime, LLC ("Allotrope") (collectively "Plaintiffs") filed the complaint
in this action against Christian Tse ("Tse"), Safe Lock Storage, LLC, Christian
Tse Designs & Manufacturing, Inc. ("CTDM"), and Formula 3D Corporation, asserting
causes of action for: (1) breach of contract, (2) breach of fiduciary
duty, (3) accounting, (4) breach of promissory note – loan for \$1,000,000, and
(5) breach of promissory note – loan for \$1,400,000.

On June 25, 2026, Tse, CTDM, and Formula 3D Corporation
(collectively "Defendants") filed this demurrer. Plaintiffs filed an opposition on August 4,
and Defendants filed a reply on August 10.

No trial date has been set.

Legal Standard

Code of Civil Procedure section 430.10 provides:

“The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

...

(e) The pleading does not state facts sufficient to constitute a cause of action. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (Centinela Freeman Emergency Medical Associates v. Health Net of California (2016) 1 Cal.5th 994, 1010; Blank v. Kirwan (1985) 39 Cal.3d 311, 318; accord Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924; Marina Pacific Hotel and Suites v. Fireman’s Fund Insurance Company (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081; Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also *C.A. v. William S. Hart High School Dist.* (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint “is sufficient if it alleges ultimate rather than evidentiary facts.” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (*Estes v. Eaton Corp.* (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 *Weil & Brown, supra*, ¶ 6:124.)

A plaintiff is required to plead only “the essential facts of [its] case” that are sufficient “to acquaint a defendant with the nature, source and extent of [the] cause of action.” (*Doe, supra*, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (*Id.* at p. 551 fn. 5.) But a plaintiff need not allege “each evidentiary fact that might eventually form part of plaintiff’s proof” at trial. (*C.A., supra*, 53 Cal.4th at p. 872.)

A demurrer can be sustained only when it disposes of an entire cause of action. (*Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when “there is a reasonable possibility that the defect can be cured by amendment.” (*Centinela Freeman, supra*, 1 Cal.5th at p. 1010; *Blank, supra*, 39 Cal.3d at p. 318; *Shaeffer v. Califia Farms* (2020) 44 Cal.App.5th 1125, 1145.)

Meet
and Confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc. § 430.41, subd.

(a.) This requirement is satisfied. (Vanderpool Decl., ¶ 2.)

Discussion

Defendants

demur to Plaintiffs' First, Second and Third Causes of Action. The Court considers each in turn.

First Cause of Action (for Breach of Contract by Plaintiff Allotrope against Defendant CTDM)

The

elements of a cause of action for breach are contract are: "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821; see also, e.g., Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

In

the Complaint, Plaintiff Allotrope alleges that it entered into the Colored Diamond Joint Venture Agreement (the "CDJVA") with CTDM in approximately July 2016. (Compl., ¶¶ 9-12, 21.) Under the terms of the CDJVA, CTDM is responsible for arranging secure storage of the Colored Diamonds. (Compl., ¶¶ 9-10, 22-23.) Plaintiff alleges that CTDM has breached the CDJVA by failing to arrange for the safeguarding and security of the Colored Diamonds. (Compl., ¶ 24.) Plaintiff seeks specific performance and other relief. (Compl., ¶¶ 26-29 & Item 1 of Prayer for Relief.)

Defendants

argue that in this cause of action, Plaintiff has not sufficiently alleged a breach of the CDJVA or non-speculative damages. (Mem., at pp. 6-7.) Having reviewed the Complaint and its attachments, the Court concludes that Plaintiff has sufficiently alleged a breach of the CDJVA, at least as a matter of pleading. Plaintiff has also sufficiently alleged resulting injury and damages; although quantifying those damages may be difficult, as Plaintiff acknowledges in the Complaint, Plaintiff seeks specific performance as part of its prayer for relief.

The demurrer to the First Cause of Action is overruled.

Second Cause of Action (for Breach of Fiduciary Duty against Tse and CTDM)

The

elements of a cause of action for breach of fiduciary duty are: (1) that the defendant and the plaintiff were in a relationship giving rise to fiduciary duties; (2) that the defendant breached a fiduciary duty owed to plaintiff; and (3) that the breach of fiduciary duty was a substantial factor in causing harm to the plaintiff. (Oasis West Realty, LLC v. Goldman (2011)

51 Cal.4th 811, 820-821; Williamson v. Brooks (2017) 7 Cal.App.5th 1294, 1300; Shopoff & Cavallo LLP v. Hyon (2008) 167 Cal.App.4th 1489, 1509; Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086; see also CACI No. 4106.)

Defendants argue (1) that they owed no duty to Plaintiff Windheim as an individual; (2) that Plaintiffs do not sufficiently allege breach; and (3) that Plaintiffs do not sufficiently allege injury or damages. (Mem., at pp. 7-9.)

Having reviewed the Complaint and its attachments, the Court concludes that Plaintiffs have sufficiently alleged breach and a resulting harm. (Compl., ¶¶ 24-27, 37-39.)

The Complaint does not sufficiently allege, however, that any fiduciary duty was owed by Defendants CTDM and TSE to Plaintiff Windheim himself (individually or as trustee).

The joint venture was between Allotrope and CTDM. (Compl., ¶ 9.) Although Plaintiff alleges that Windheim signed the CDJVA on behalf of Allotrope (Compl., ¶ 21), that alone does not give rise to fiduciary duties owed to him – even if Allotrope is a single member LLC and Windheim is the only member (which is not alleged in the Complaint). Based on the allegations of the Complaint, at most, entered into the CDJVA through an LLC her controlled (Allotrope). The corporate entity is the joint venturer. An individual cannot use an LLC (or any other corporate entity) to obtain certain benefits under the law (including limited liability for the owner) but then disclaim the corporate

entity – and ask the Court to ignore the corporate form – when seeking to obtain benefits under a transaction or business arrangement.

The demurrer to the Second Cause of Action is overruled as to Plaintiff Allotrope and sustained as to Plaintiff Windheim. Leave to amend is granted.

Third Cause of Action (for Accounting by Plaintiff Windheim against Formula 3D and Tse)

Plaintiff Windheim alleges that he invested \$5 million in Defendant Formula 3D (a California corporation), that he owns 25 percent of the voting shares of the company, that he has requested an accounting and other information regarding the company's business, and that the company and Tse (its Chief Executive Officer and Chief Financial Officer) have refused. (Compl., ¶¶ 7, 13-14, 43-45.) Plaintiff seeks an order to enforce his inspection rights as a shareholder and an accounting. (Compl., ¶¶ 46-47 & Item 3 in Prayer for Relief.)

The basic elements for an accounting are: (1) "that a relationship exists between the plaintiff and defendant that requires an accounting"; and (2) "that some balance is due the plaintiff that can only be ascertained by an accounting." (Sass v. Cohen (2020) 10 Cal.5th 861, 869; see also Conservatorship of Farrant (2021) 67 Cal.App.5th 370, 376; Fleet v. Bank of America N.A. (2014) 229 Cal.App.4th 1403, 1413; Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179; 5 Witkin, California Procedure (6th ed. 2021) Pleadings, § 816.) An accounting action is not available, however, "where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation." (Sass, supra, 10 Cal.5th at p. 869 [quoting Teselle, supra, 173 Cal.App.4th at p. 179]; see also Fleet, supra, 229 Cal.App.4th at p. 1413.)

"The right to an accounting can arise from the possession by the defendant of money or property which, because of the defendant's relationship with the plaintiff, the defendant is obliged to surrender." (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179-80.)

"An accounting is an equitable proceeding which is proper where there is an unliquidated and unascertained amount owing that cannot be determined

without an examination of the debits and credits on the books to determine what is due and owing. ... Equitable principles govern, and the plaintiff must show the legal remedy is inadequate." (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136-37.)

Plaintiff

has sufficiently alleged a cause of action against Defendant Formula 3D for an order enforcing Plaintiff's rights, as a shareholder, to inspect corporate records. (Corps. Code, §§ 1600-1605.)

Plaintiff

labels his cause of action as for an "accounting," but he has not alleged any facts sufficient to give rise to an accounting. Nonetheless, the substance of the allegations in the pleading, and not the label attached by the pleader, controls.

Plaintiff

has not, however, alleged a cause of action for a corporate inspection (or an accounting) against Defendant Tse personally.

The

demurrer to the Third Cause of Action is overruled as to Defendant Formula 3D and sustained as to Defendant Tse. Leave to amend is granted.

Conclusion

The Court SUSTAINS IN PART and OVERRULES IN PART the demurrer of Defendants Christian Tse, Christian Tse Designs & Manufacturing, Inc., and Formula 3D Corporation.

The Court SUSTAINS the demurrer as to the allegations of Plaintiff Windheim (only) in the Second Cause of Action and as to the allegations against Defendant Tse (only) in the Third Cause of Action.

The Court OVERRULES the demurrer in all other respects.

The Court GRANTS Plaintiffs LEAVE to file an amended complaint addressing the pleading defects identified in this order by no later than September 8, 2026.

Moving party is ORDERED to give notice.